

BATS

Past Paper Revision Series

Topic-based Past Paper Practice

Module 2

Basics of Accounting



Heung To Middle School

Book 1.2

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201 Purposes and the Role of Accounting

Multiple Choice Questions

1. DSE2012 – 14

Arrange the following tasks in the accounting cycle in sequence.

- (1) prepare a trial balance
- (2) prepare financial statements
- (3) record transactions in day books
- (4) post entries to the ledger accounts

- A. (3) → (4) → (2) → (1)
- B. (3) → (4) → (1) → (2)
- C. (4) → (3) → (2) → (1)
- D. (4) → (3) → (1) → (2)

2. DSE2012 – 20

Which of the following are functions of accounting?

- (1) evaluate business performance
- (2) facilitate business planning
- (3) enhance business competitiveness

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

3. DSE2013 – 30

Which of the following are tasks of accounting?

- (1) classifying and recording business transactions
- (2) equipping the purchasing system with security measures
- (3) summarising and reporting the performance of the company's sales periodically

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

4. DSE2014 – 14

What is the flow of an accounting cycle after the books of original entry?

- (1) balancing day adjustments
- (2) financial statements
- (3) ledgers
- (4) trial balance

- A. (1) → (2) → (3) → (4)
- B. (2) → (3) → (4) → (1)
- C. (3) → (4) → (1) → (2)
- D. (4) → (3) → (1) → (2)

5. DSE2017 – 5

In the accounting cycle, which of the following steps comes immediately after preparation of a trial balance?

- A. Preparing financial statements
- B. Making period-end adjustments
- C. Posting entries to the ledgers
- D. Recording transactions in the books of original entry

6. DSE2017 – 19

Mr. Wong set up a firm on 1 January 2017. He introduced his motor van of \$40 000 into the firm. The firm borrowed \$200 000 from Mr. Wong's relatives to purchase office equipment and \$100 000 from bank for the business operation.

What are the amount of the firm's assets, liabilities and capital on 1 January 2017?

	<u>Assets</u>	<u>Liabilities</u>	<u>Capital</u>
	\$	\$	\$
A.	240 000	200 000	40 000
B.	40 000	300 000	340 000
C.	340 000	100 000	240 000
D.	340 000	300 000	40 000

7. DSE2018 – 23

Which of the following is not a function of accounting?

- A. summarising business transactions
- B. monitoring the performance of the accounting staff
- C. communicating the performance of the business to different stakeholders
- D. classifying business transactions

8. DSE2019 – 23

In the accounting cycle, the next step after posting entries to the ledger accounts is

- A. Preparing financial statements
- B. Recording transactions in the books of original entries
- C. Preparing the trial balance
- D. Making period-end adjustments

9. DSE2020 – 13

Which of the following descriptions of the flow of the accounting cycle is/are correct?

- (1) Right after the posting of entries to ledgers, period-end adjustments are made.
- (2) Right after the preparation of trial balance, financial statements are prepared.
- (3) Right after the confirmation of business transactions, books of original entry are recorded.

- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

10. DSE2021 – 3

At the end of the year, the bookkeeper of a retail store balanced off the accounts, listed the account balances and prepared a trial balance. Which of the following accounting functions did the bookkeeper perform?

- A. recording
- B. classifying
- C. summarising
- D. communicating

11. DSE2022 – 3

An accounts clerk at a firm is preparing the trial balance and the financial statements, he will then submit relevant information to the manager.

Which accounting function(s) is/are performed in the situation above?

- (1) communicating
- (2) recording
- (3) summarising

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

12. DSE2023 – 3

Which of the following is/are major function(s) of accounting?

- (1) classifying transactions according to their profitability
- (2) communicating the financial performance of the business to the stakeholders
- (3) summarising all information of the business for users' decision-making

- A. (1) only
- B. (2) only
- C. (1) and (2) only
- D. (2) and (3) only

13. DSE2023 – 5

Which of the following is the flow of the accounting cycle?

- (1) Make period-end adjustments
- (2) Prepare financial statements
- (3) Record transactions in the books of original entry
- (4) Prepare a trial balance
- (5) Post entries to the ledger accounts

- A. (3) → (5) → (4) → (1) → (2)
- B. (3) → (5) → (1) → (4) → (2)
- C. (5) → (1) → (3) → (2) → (4)
- D. (5) → (3) → (1) → (4) → (2)

14. DSE2024 – 30

Which of the following are nominal accounts?

- (1) discounts received account
- (2) rent account
- (3) carriage outwards account

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

15. DSE2025 – 17

Which of the following descriptions of the functions of accounting is/are correct?

- (1) reporting financial and non-financial information of a business to users
- (2) recording daily transactions of a business
- (3) classifying transactions of a business based on the invoiced amounts

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

16. DSE2025 – 18

In the accounting cycle, which of the following is the step immediately after balancing off the ledger accounts?

- A. preparing an income statement
- B. making period-end adjustments
- C. preparing a statement of financial position
- D. preparing a trial balance

Short Questions

1. DSE2020 – Q2(a)

To finance the expansion of the business, Chan's firm is applying for a bank loan. The bank requested Chan's firm to submit its financial statements of the past three years for its consideration.

- (a) Explain how the bank will use the financial statements to decide whether to approve the loan. (2 marks)

2. DSE2021 – Q5(A)(b)

- (b) Explain one use to the government of the income statement of a business. (1 mark)

3. DSE2023 – Q4(b)

Henry's firm produces bottled juices and sells them via online channels.

- (b) Explain one use of the statement of financial position of Henry's firm for its suppliers. (2 marks)

202 Accounting Equation & 203 Double Entry System

Multiple Choice Questions

1. DSE2012 – 16

Which of the following transactions will affect the total amount of liability of a business?

- A. assets introduced by the owner into the business
- B. goods sold to customers on credit
- C. machinery bought with its price settled two months later
- D. sales proceeds deposited into the business's bank account

2. DSE2012 – 17

On 1 January 2012, Mr Tong set up a firm and brought in motor vehicles of \$2 000, premises of \$14 000 and inventory of \$5 000 to the business. The firm borrowed \$3 000 from the bank to acquire a piece of equipment. Meanwhile, Mr Tong put \$1 000 into the firm's cash box and \$8 000 into the firm's bank account.

What was the amount of Mr Tong's capital on 1 January 2012?

- A. \$9 000
- B. \$27 000
- C. \$3 0000
- D. \$33 000

3. DSE2013 – 28

Which of the following double entries are correct?

<u>Transaction</u>	<u>Account to be debited</u>	<u>Account to be credited</u>
(1) Withdrew \$20 000 cash from the bank account for business uses.	Drawings	Bank
(2) Paid sundry expenses \$3 000 in cash.	Sundry expenses	Cash
(3) Received a bank loan of \$2 00000 via the bank account.	Bank	Bank loan

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

4. DSE2014 – 29

Miss Lee drew a personal cheque to pay an electricity bill for the business. Which of the following entries for the business is correct?

	<u>Debit</u>	<u>Credit</u>
A.	Drawings	Cash at bank
B.	Drawings	Capital
C.	Electricity expenses	Cash at bank
D.	Electricity expenses	Capital

5. DSE2015 –18

Which of the following descriptions of cash discount offered to customers are correct?

- (1) They are expenses.
- (2) They must be recorded in the books.
- (3) They are used to encourage customers to purchase in cash.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1),(2) and (3)

6. DSE2015 –23

On 1 January 2014, Mary started her business by depositing her own cash \$300 000 into the firm's bank account and introducing her motor van costing \$80 000 into the firm. In addition, the firm borrowed \$40 000 from Mary's friends to buy goods for the business. Total revenues and expenditures of the firm for the year ended 31 December 2014 amounted to \$120 000 and \$45 000 respectively.

Which is the amount of Mary's capital as at 31 December 2014?

- A. \$305 000
- B. \$335 000
- C. \$455 000
- D. \$485 000

7. DSE2015 –25

Which of the following double entries are correct?

<u>Transaction</u>	<u>Account to be debited</u>	<u>Account to be credited</u>
(1) Purchased a file cabinet for office use in cash	Purchases	Cash
(2) The owner introduced cash into the business	Cash	Capital
(3) A debtor paid his debts by cheque	Cash at bank	Trade receivables

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1),(2) and (3)

8. DSE2016 – 18

Which of the following double entries are correct?

<u>Transaction</u>	<u>Account to be debited</u>	<u>Account to be credited</u>
(1) Returned goods to suppliers	Purchases	Returns outwards
(2) Deposited cash into the bank account	Bank	Cash
(3) Sold goods to customers on credit	Trade receivables	Sales

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

9. DSE2016 – 21

Which of the following should be recorded on the credit side of the respective accounts?

	<u>Accounts</u>
(1) Decrease in capital	Capital
(2) Increase in trade payables	Trade payables
(3) Decrease in cash at bank	Bank

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

10. DSE2017 – 28

Which of the following double entries is/are correct?

<u>Transaction</u>	<u>Account to be debited</u>	<u>Account to be credited</u>
(1) Settled a trade debt by cheque	Trade payables	Bank
(2) Sold the office furniture of the firm on credit	Trade receivables	Sales
(3) Paid carriage expenses for delivering goods	Carriage outwards	Cash

- A. (1) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

11. DSE2018 – 4

Which of the following double entries is/are correct?

<u>Transaction</u>	<u>Account to be debited</u>	<u>Account to be credited</u>
(1) Received interest on bank deposit.	Interest income	Bank
(2) Purchased stationery for office use on credit.	Stationery expenses	Accounts payable
(3) The owner brought in his motor van for the	Motor van	Drawings

- A. (1) only
- B. (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

12. DSE2018 – 6

Which of the following should be recorded as an expense of a firm?

- (1) wages paid to the part-time workers of the firm in cash
- (2) insurance paid for owner's private apartment by the firm's cheque
- (3) rent paid for the firm's warehouse by owner's personal cheque

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

13. DSE2018 –8

Which of the following should be credited to the purchases account of a firm?

- (1) goods withdrawn by owners for personal use
- (2) goods returned to a supplier
- (3) goods donated to a non-profit making organization

- A. (1) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

14. DSE2019 –6

A firm acquired a set of equipment with a list price of \$200 000. The owner paid \$50 000 by personal cheque and the remaining amount was to be settled later on. Which of the following are the effects of this transaction on the accounting equation?

	<u>Assets</u>	<u>Capital</u>	<u>Liabilities</u>
A.	increase	increases	decrease
B.	increase	increases	increase
C.	increase	decreases	increase
D.	decrease	unchanged	decrease

15. DSE2019 –12

Which of the following will decrease the total amount of current liabilities of a business?

- (1) Some unpaid goods are returned to the supplier
- (2) Trade payables are repaid using a bank overdraft facility
- (3) a 6-month loan is repaid by taking out a 3-year bank loan

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

16. DSE2019 – 19

Which of the following double entries are correct?

	<u>Transaction</u>	<u>Account to be debited</u>	<u>Account to be credited</u>
(1)	Credit customers returned goods to the firm	Sales	Trade Receivables
(2)	A bank loan was settled by cheque	Bank loan	Bank
(3)	A cash refund for the overpayment of motor expenses was received	Cash	Motor Expenses

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

17. DSE2020 – 3

Which of the following descriptions of 'debit' and 'credit' in accounting is/are correct?

- (1) 'Debit' means an increase and 'credit' means a decrease in the amount of an account.
- (2) 'Debit' side refers to the left-hand side and 'credit' side refers to the right-hand side of an account.
- (3) 'Debit' balance is positive and 'credit' balance is negative.

- A. (1) only
- B. (2) only
- C. (1) and (2) only
- D. (2) and (3) only

18. DSE2020 – 5

Which of the following effects on the assets, capital and liabilities brought about by the respective transaction is correct?

	<u>Transaction</u>	<u>Asset</u>	<u>Capital</u>	<u>Liability</u>
A.	Owner injected his own motor van to the firm.	increases	increases	increases
B.	Received cash from a customer as settlement of his account.	increases	unchanged	decreases
C.	Owner repaid a bank loan for the firm by his personal cheque.	unchanged	increases	decreases
D.	Paid rent of the firm for the current month in cash.	decreases	unchanged	decreases

19. DSE2020 – 18

Which of the following transactions should be recorded in the purchases account of a supermarket?

- (1) purchased a freezer for storing ice-cream
- (2) owner took some canned food from the warehouse for his family use
- (3) received a discount from a supplier for bulk purchase of goods

- A. (1) only
- B. (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

20. DSE2021 – 6

On 1 February 2021, Mr Lee set up a retail firm selling computers. On the same day, the firm purchased ten sets of computers on credit from a supplier at a cost of \$4 500 each. During February, two sets of damaged computers were returned to the supplier and three sets of computers were sold at a selling price of \$7 000 each.

What is the balance of the purchases account of the firm as at 28 February 2021?

- A. \$22 500
- B. \$31 500
- C. \$36 000
- D. \$45 000

21. DSE2021 – 9

The following is a list of all account balances of Lee's firm as at 31 December 2020:

	\$
Trade receivables	55 000
Bank overdraft	2 500
Inventory	21 200
Loan to Mr Chan	18 000
Cash	23 000
Trade payables	42 300
Equipment	121 000
Capital	?

What is the balance of the capital account as at 31 December 2020?

- A. \$157 400
- B. \$162 400
- C. \$193 400
- D. \$198 400

22. DSE2021 – 26

Which of the following double entries is/are correct?

	<u>Transaction</u>	<u>Account to be debited</u>	<u>Account to be credited</u>
(1)	Purchased a motor van by cheque from Silver Company	Motor vans	Silver Company
(2)	Received commission by cheque from Mr Leung	Bank	Commission income
(3)	The owner paid the rental expenses of the firm with his personal cheque	Rental expenses	Capital

- A. (1) only
- B. (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

23. DSE2021 – 29

Which of the following is an example of a real account?

- A. purchases account
- B. trade receivables account
- C. discounts allowed account
- D. electricity expenses account

24. DSE2022 – 10

Which of the following double entries are correct?

	<u>Transaction</u>	<u>Account to be debited</u>	<u>Account to be credited</u>
(1)	Received cash refund for goods returned to a supplier	Cash	Returns outwards
(2)	Paid freight charges for delivering goods to a customer by cheque	Carriage outwards	Bank
(3)	Office equipment bought on credit was returned to the seller	Trade payables	Office equipment

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

25. DSE2022 – 12

On 1 January 2022, the total asset value of Wong's firm was \$100 000. On 3 January, the firm purchased goods on credit at a cost of \$30 000. On 31 January, goods costing \$8 000 were sold on credit at a price of \$12 000.

Based on the above information, calculate the total asset value of Wong's firm as at 31 January 2022.

- A. \$122 000
- B. \$126 000
- C. \$134 000
- D. \$142 000

26. DSE2022 – 14

Chan's firm sells goods at a list price of \$80 each. On 10 March 2022, it sold 1 200 units of goods to a customer. The following account was extracted from the books of Chan's firm:

Sales			
	2022		\$
	Mar 10	Trade receivables	84 000

Based on the above information, which of the following statements are correct?

- (1) The goods were sold on credit.
- (2) A discount of \$10 per unit was given to the customer.
- (3) The discount given to the customer was recorded in the discounts allowed account.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

27. DSE2022 – 16

Which of the following should be shown on the credit side of the capital account?

- (1) losses made by the firm
- (2) office expenses paid by the owner out of his own pocket
- (3) a loan borrowed by the firm from the owner's friend

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

28. DSE2023 – 10

Which of the following transactions will lead to the same effect to the assets and capital in the accounting equation?

- (1) Received rental income by cheque.
- (2) Repaid a bank loan by the owner's personal cheque.
- (3) Paid expenses for the current month in cash.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (1), (2) and (3)

29. DSE2023 – 20

Chan's Computer issued the following invoice to a customer on 3 April 2023. The customer settled the debt by cheque on 20 April 2023.

Chan's Computer Invoice			
Date: 3 April 2023			
<u>Description</u>	<u>Quantity</u>	<u>Unit price (\$)</u>	<u>Amount (\$)</u>
Web camera	3	600	1 800
Printer	4	2 100	<u>8 400</u>
			10 200
		Trade discount	<u>500</u>
		Total	<u><u>9 700</u></u>
<i>To be paid within 30 days. 10% discount if paid within 15 days.</i>			

From the perspective of Chan's Computer, which of the following accounting entries relating to the above transactions is correct?

- A. The sales account should be credited by \$10 200.
- B. The discounts allowed account should be debited by \$970.
- C. A trade discount of \$500 should be credited to the trade receivables account.
- D. The bank account should be debited by \$9 700.

30. DSE2023 – 23

The following is the information related to a firm for the year ended 31 March 2023:

	\$
Capital account balance, 1 April 2022	270 000
Gross profit for the year	7 500
Cash injection by the owner	20 000
Drawings	9 000
Net loss for the year	84 000

What is the balance of the capital account as at 31 March 2023?

- A. \$157 000
- B. \$197 000
- C. \$204 500
- D. \$207 500

31. DSE2023 – 28

Which of the following double entries of a garment trading firm is correct?

<u>Transaction</u>	<u>Account to be debited</u>	<u>Account to be credited</u>
A. A customer returned goods which were purchased in cash two weeks ago.	Sales	Cash
B. The firm paid a delivery charge for goods purchased.	Carriage inwards	Purchases
C. The firm sold an office computer on credit.	Accounts receivables	Sales
D. The firm bought ink for office printers in cash.	Sundry expenses	Cash

32. DSE2024 – 10

The balances of all accounts of a firm as at 1 January 2023 are shown as follows:

	\$
Equipment	600 000
Inventory	98 000
Trade payables	82 000
Bank	78 000
Trade receivables	25 000
Capital	?

The firm had a net loss of \$54 000 for the year ended 31 December 2023. During the year, the owner introduced \$100 000 into the firm. The firm's capital account balance as at 31 December 2023 is

- A. \$765 000
- B. \$873 000
- C. \$879 000
- D. \$929 000

33. DSE2024 – 12

Which of the following should be recorded in the drawings account of a firm?

- (1) The owner used the firm's credit card to pay for the lunch with his/her friends.
- (2) The owner made a donation to a charity in his/her name, and instructed the accounts clerk to pay with a firm's cheque.
- (3) The owner took goods from the firm for personal use.

- A. (1) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

34. DSE2024 – 15

The trade payables account of a firm from 1st to 19th March 2024 is shown below:

Trade payables									
2024				\$	2024				\$
Mar	5	Returns outwards	14 000	Mar	1	Balance b/d		49 000	
				Mar	12	Purchases		58 000	
				Mar	19	Purchases		32 000	

On 23 March 2024, the firm repaid half of the outstanding amount owed to the suppliers. The balance of the trade payables account of the firm as at 31 March 2024 is _____.

- A. \$62 500
- B. \$69 500
- C. \$76 500
- D. \$78 500

35. DSE2024 – 18

The account balances of a firm as at 1 March 2024 are as follows: Capital \$97 000, Cash \$50 000, Bank \$60 000, Trade receivables \$45 000, Bank loan \$28 000 and Trade payables \$45 000.

In March 2024, the owner introduced \$30 000 cash into the firm. The bank loan was settled by cheque and the firm paid an electricity expense of \$1 000 by bank autopay.

What is the balance of the bank account of the firm as at 31 March 2024?

- A. \$14 000
- B. \$31 000
- C. \$44 000
- D. \$61 000

36. DSE2024 – 23

Which of the following double entries of a stationery shop is/are correct?

<u>Transaction</u>	<u>Account to be debited</u>	<u>Account to be credited</u>
(1) Received interest on a term deposit.	Bank	Interest income
(2) Acquired a motor van on credit.	Accounts payable	Motor vans
(3) Bought a large quantity of stationery and received a discount from the supplier.	Purchases	Discounts received

- A. (1) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

37. DSE2025 – 19

Which of the following is/are the example(s) of real account?

- (1) returns outwards account
- (2) motor vehicles account
- (3) trade payables account

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

38. DSE2025 – 22

On 1 April 2025, a stationery shop purchased goods for \$13 200 on credit. The supplier offered a trade discount of \$700 and a cash discount of 2% if the balance was settled within 10 days after purchase. How much was paid by the stationery shop if it fully settled the account on 8 April 2025?

- A. \$12 236
- B. \$12 250
- C. \$12 500
- D. \$12 936

39. DSE2025 – 24

The owner of a firm deposited a cheque received from a credit customer into his personal bank account. Which of the following are the effects of this transaction on the accounting equation?

- A. Asset increases; Capital unchanged; Liability increases
- B. Asset unchanged; Capital decreases; Liability increases
- C. Asset increases; Capital increases; Liability unchanged
- D. Asset decreases; Capital decreases; Liability unchanged

Short Questions

1. DSE2016 – 1(a)

Annie runs a shop selling bicycles. One day, Annie took one of the bicycles home for her son's use. The cost and selling price of the bicycle are \$500 and \$980 respectively.

(a) Prepare the journal entry to record the above event. Narration is not required. (2 marks)

2. DSE2018 – Q5(a)

On 1 January 2018, the cash at bank account of Vincent's firm carried a debit balance of \$20 000. The following transactions took place in January 2018:

2018

	Purchased goods on credit with a list price of \$10 000. The supplier offers a trade
Jan 3	discount of 2% for purchase orders over \$5 000 and a cash discount of 3% for settlements within 10 days after purchase.
Jan 7	Repaid the supplier for the purchase made on 3 January 2018 by cheque.
Jan 10	Paid rent by cheque for \$7 000.
Jan 25	Sold goods on credit for \$12 000.

(a) Prepare the T-accounts in the books of Vincent's firm to record the above transactions. (5 marks)

3. DSE2019 – Q3(a)(b)(i)(b)(ii)

On 1 December 2018, Chung's firm purchased goods for \$5 000 by cheque.

On 22 December 2018, Chung's firm sold goods to a new customer, Jacky, on credit for \$8 000. A 5% discount would be offered to customers if the settlements were made within 10 days after purchase. Jacky settled the account by cheque on 30 December 2018.

With reference to the accounts listed below,

- Purchases account
- Sales account
- Jacky account
- Cash at bank account
- Discounts received account
- Discounts allowed account

(a) prepare appropriate T-accounts to record the above transactions for Chung's firm. Balancing off the accounts is not required. (4 marks)

(b) give one example for each of the following types of ledger account:

(i) real account

(ii) nominal account

(2 marks)

4. DSE2020 – Q4(B)(b)(i)

(B) Wendy set up a firm on 1 March 2020. All the transactions of the firm for its first month of operation have been recorded in the following accounts:

Bank					
2020			\$		
March 1	Capital	10 000	March 2	Rent	4 000
March 16	Sales	3 500	March 5	Equipment	3 000
			March 11	Purchases	2 000
			March 20	Purchases	4 700
Equipment					
2020			\$		
March 5	Bank	3 000			
Rent					
2020			\$		
March 2	Bank	4 000			
Sales					
2020			\$		
			March 16	Bank	3 500
			March 25	Trade receivables	4 500
Purchases					
2020			\$		
March 11	Bank	2 000			
March 20	Bank	4 700			
Trade receivables					
2020			\$		
March 25	Sales	4 500			

(b) (i) Prepare the capital account and balance off the account as at 31 March 2020.

(1 mark)

5. DSE2021 – Q3(a)

Jeffery commenced a firm as a sole trader on 1 April 2021 with \$80 000. The following is the bank account of the firm for April:

Bank					
2021			2021		
		\$			\$
Apr 1	Capital	80 000	Apr 5	Rental expenses	37 000
Apr 18	Sales	15 000	Apr 19	Equipment	62 000

- (a) Based on the above account, prepare two relevant nominal accounts to complete the double entries. Balancing off the accounts is not required. (2 marks)

6. DSE2023 – Q2(a)

Ray set up his trading firm on 16 April 2023. He brought office equipment \$20 000 and cash \$10 000 into the firm. During the first two weeks of operations, there were only two transactions as follows:

April 17 Bought goods for \$8 000 in cash.
April 28 Received \$1 000 cash refund for goods returned to the supplier.

- (a) Prepare the cash account and balance off the account as at 30 April 2023. (2 marks)

7. DSE2024 – Q4(d)

- (d) On 1 January 2024, the bank account of the firm had an overdraft balance of \$32 000. The next day, a customer returned some malfunctioning batteries. A refund of \$9 000 was made to the customer by cheque. On 4 January 2024, Mr Chan, a credit customer, purchased car batteries with a list price of \$50 000, receiving a trade discount of 10%. On 22 January 2024, Mr Chan settled the outstanding amount by cheque.

Prepare the bank account of the firm to record the above transactions and balance off the account as at 31 January 2024. (2 marks)

204 Trial Balance

Multiple Choice Questions

1. DSE2012 – 3

Which of the following accounts must be in debit balances on a trial balance?

- (1) short term loans
- (2) inventories
- (3) bank
- (4) premises

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (4) only
- D. (2), (3) and (4) only

2. DSE2014 – 10

In the trial balance, if the total of debit balances is larger than the total of credit balances, it means that _____.

- A. there is a loss for the year
- B. there is an error in the double entries
- C. there is insufficient capital to run the business
- D. the amount of the total assets is larger than the total liabilities

3. DSE2015 – 7

What is/are the main purpose(s) of preparing a trial balance?

- (1) Record the daily transactions of the business
- (2) Reflect the financial performance of the business
- (3) Check the arithmetical accuracy of bookkeeping entries

- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

4. DSE2016 – 11

Which of the following accounts must have balances on the debit side of a trial balance?

- (1) bank charges
- (2) bank loan
- (3) bank

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

5. DSE2017 – 2

Assume that no account balance is missing from the trial balance. If the total of the debit balances and the total of the credit balances of the trial balance are not equal, it means that _____.

- (1) one or more ledger balance(s) in the trial balance is/are wrong
- (2) the statement of financial position will not balance
- (3) the net profit in the income statement will be wrong

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

6. DSE2017 – 9

If an account has a debit balance, which of the following statements about the account is correct?

- A. The total amount of the debit side in the account is higher than the total amount of the credit side.
- B. The balance carried down appears on the debit side of the account.
- C. The balance brought down appears on the right hand side of the account.
- D. The account is an asset account.

7. DSE2018 – 2

Which of the following accounts must carry a debit balance in a trial balance?

- A. Rental income
- B. Purchases returns
- C. Discounts received
- D. Loans to employees

8. DSE2018 – 12

On 1 March 2018, the cash at bank account and the cash in hand account of a firm carried debit balances of \$15 000 and \$12 000 respectively. Cash sales for the month were \$13 000, of which \$5 000 was kept in the safe and the remaining cash from sales was deposited into the bank before the month end. During the month, \$9 000 was paid for expenses in cash and \$26 000 was paid to acquire equipment by cheque.

The cash at bank account carried a _____ on 31 March 2018.

- A. credit balance of \$3 000
- B. credit balance of \$6 000
- C. debit balance of \$5 000
- D. debit balance of \$8 000

9. DSE2019 – 4

The following account was extracted from the books of Lee's firm:

Mr. Au					
2018			2018		
		\$			\$
Oct 14	Cash	22 000	Oct 1	Balance c/d	10 000
Oct 31	Balance c/d	44 000	Oct 5	Purchases	56 000
		<u>66 000</u>			<u>66 000</u>

Based on the information in the above account, which of the following statements is not correct?

- A. Lee's firm owed Mr. Au \$10 000 on 1 October 2018.
- B. Mr. Au sold goods for \$56 000 on credit to Lee's firm on 5 October 2018.
- C. Lee's firm received \$22 000 in cash from Mr. Au on 14 October 2018.
- D. The account has a credit balance as at 31 October 2018.

10. DSE2019 – 28

The following is a list of the account balances in the trial balance of a firm as at 31 December 2018:

	\$
Purchases	74 000
Inventory, 1 January 2018	6 200
Bank	121 500
Bank loan	36 700
Office Equipment	15 000
Sales	123 000
Operating Expenses	28 000
Drawings	14 700
Capital, 1 January 2018	?

The firm's capital as at 1 January 2018 was _____?

- A. \$43 700
- B. \$70 300
- C. \$99 700
- D. \$197 700

11. DSE2021 – 13

Which of the following statements about a trial balance is/are correct?

- (1) If the trial balance agrees, there are no errors in the account balances.
- (2) The trial balance shows all the account balances of a firm.
- (3) If the total of the debit side of an account is smaller than the credit side, the account balance is shown in the credit column of a trial balance.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

12. DSE2022 – 8

Which of the following is/are function(s) of a trial balance?

- (1) errors in the ledger accounts can be detected
- (2) facilitate the preparation of the books of original entries
- (3) the arithmetical accuracy of the financial statements can be checked

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

13. DSE2022 – 30

The bookkeeper prepared a trial balance as below, but some account balances were put on the wrong side:

Trial balance as at 31 December 2021		
	Dr	Cr
	\$	\$
Sales	102 000	
Purchases	56 500	
Inventory, 1 January 2021	21 100	
Motor vans		86 000
Discounts received	2 500	
Operating expenses		7 800
Bank	3 500	
Bank loan	40 000	
Capital, 1 January 2021		(Y)
	?	?

Inventory as at 31 December 2021 was \$14 000.

After correctly arranging the account balances in the trial balance, the figure for (Y) is:

- A. \$14 800
- B. \$30 400
- C. \$35 400
- D. \$121 400

14. DSE2024 – 7

Which of the following statements about a trial balance is/are correct?

- (1) It is prepared before period-end adjustments.
- (2) The net profit figure will be wrong if the trial balance disagrees.
- (3) If the balance carried down is shown on the debit side of a ledger account, that account balance will be shown in the debit column of the trial balance.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

Short Questions

1. DSE2017 – 4(a)

John commenced a firm selling grocery and household products on 1 January 2016. Three employees were hired for the operation of the firm.

The following balances were obtained from his books as at 31 December 2016:

	\$
Capital, 1 January 2016	240 000
Bank overdraft	173 400
Furniture	204 000
Sales	796 200
Purchases	500 400
Returns inwards	1 800
Returns outwards	1 500
Discounts received	2 100
Operating expenses	507 000

(a) Prepare for John's firm a trial balance as at 31 December 2016.

(5 marks)

2. DSE2020 – Q4(B)(b)(ii)

Bank						
2020			\$	2020		\$
March 1	Capital	10 000		March 2	Rent	4 000
March 16	Sales	3 500		March 5	Equipment	3 000
				March 11	Purchases	2 000
				March 20	Purchases	4 700
Equipment						
2020			\$	2020		\$
March 5	Bank	3 000				
Rent						
2020			\$	2020		\$
March 2	Bank	4 000				
Sales						
2020			\$	2020		\$
				March 16	Bank	3 500
				March 25	Trade receivables	4 500
Purchases						
2020			\$	2020		\$
March 11	Bank	2 000				
March 20	Bank	4 700				
Trade receivables						
2020			\$	2020		\$
March 25	Sales	4 500				

(ii) Prepare a trial balance as at 31 March 2020.

(5 marks)

3. DSE2023 – Q2(b)(c)

Ray set up his trading firm on 16 April 2023. He brought office equipment \$20 000 and cash \$10 000 into the firm. During the first two weeks of operations, there were only two transactions as follows:

April 17	Bought goods for \$8 000 in cash.
April 28	Received \$1 000 cash refund for goods returned to the supplier.

(b) Prepare a trial balance as at 30 April 2023. (3 marks)

(c) State the major function of the trial balance. (1 mark)

4. DSE2025 – Q3(a)

Mr Chan is the sole owner of a firm which provides consultancy services. The following are the account balances of the firm as at 31 December 2024:

	s
Bank	84 250
Capital, 1 January 2024	212 000
Drawings	98 000
Loan to employees	30 000
Office equipment	191 700
Operating expenses	174 500
Other payables	34 500
Consultancy service revenue	331 950

On 31 December 2024, the liquidation value of the office equipment was \$125 000.

(a) Prepare a trial balance as at 31 December 2024. (5 marks)

205 & 206 Financial Statements

Multiple Choice Questions

1. DSE2012 – 2

In an income statement, _____ should be deducted from sales, while _____ should be added to the cost of goods sold.

- A. returns inwards; closing inventory
- B. returns inwards; carriage inwards
- C. returns outwards; opening inventory
- D. returns outwards; carriage outwards

2. DSE2012 – 25

Which of the following are uses of a company's financial statements to the respective users?

<u>Users</u>	<u>Uses</u>
(1) Managers	help to reallocate the resources of the firm
(2) Debtors	help to assess the repayment ability of the firm
(3) Potential investors	help to decide whether the firm is worth investing in

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

3. DSE2013 – 14

Which of the following items are to be provided in the income statement of a business?

- (1) profits earned during the accounting period
- (2) air freight charges for senior managers attending overseas meetings
- (3) trade discounts allowed to regular customers

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

Based on the following information, answer Questions 18 and 19:

	\$
Capital	199 800
Cash in hand	25 000
Cash at bank	?
Trade receivables	10 500
Trade payables	5 500
Sales	232 000
Purchases	108 000
Inventory as at 1 January 2012	15 000
Discounts allowed	5 600
Office equipment	280 000
Administrative expenses	32 000
Returns outwards	6 800
Commission received	8 700
Carriage inwards	4 500

4. DSE2013 – 18

What was the balance of the cash at bank account as at 31 December 2012?

- A. \$16 600
- B. \$27 800 (overdraft)
- C. \$30 200
- D. \$41 400 (overdraft)

5. DSE2013 – 19

If the inventory as at 31 December 2012 was \$13 400, what would be the gross profit for the year?

- A. \$117 900
- B. \$122 400
- C. \$124 700
- D. \$129 200

6. DSE2014 – 18

How will an increase in discounts received affect the gross profit and net profit?

	<u>Gross profit</u>	<u>Net profit</u>
A.	Unchanged	Unchanged
B.	Unchanged	Increases
C.	Increases	Unchanged
D.	Increases	increases

7. DSE2014 – 20

_____ are external users of financial statements who focus on the liquidity and solvency of the firm.

- A. Managers
- B. Customers
- C. Competitors
- D. Lenders

8. DSE2014 – 26

An asset is classified as a current asset on the statement of financial position if it _____.

- A. was purchased on credit more than 12 months ago
- B. was purchased in cash in the last 12 months
- C. is to be sold within 12 months
- D. is to be used for over 12 months

9. DSE2015 – 10

Which of the following is not a nominal account?

- A. Salaries account
- B. Purchases account
- C. Returns inwards account
- D. Cash at bank account

10. DSE2015 – 14

A firm sells goods to a customer on credit. Which of the following are the effects of this transaction on the statement of financial position?

	<u>Total current assets</u>	<u>Total current liabilities</u>
A.	Decrease	Increase
B.	Decrease	Decrease
C.	Increase	Unchanged
D.	Unchanged	Unchanged

11. DSE2015 – 15

Investors will use the accounting information provided in financial statements to evaluate_____.

- (1) Whether it is worth investing in the business
- (2) Whether the organizational structure of the business is appropriate
- (3) Whether the business has adequate capital to carry out its projects

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1),(2) and (3)

12. DSE2016 – 12

Which of the following would affect the calculation of cost of goods sold?

- A. rental expenses for the office
- B. carriage expenses for the delivery of goods to customers
- C. discounts given by suppliers for purchasing a large quantity of goods
- D. discounts given by suppliers for early settlement of outstanding balances

13. DSE2016 – 13

Which of the following statements about non-current assets is correct?

- A. Their cost of purchases exceeds \$100,000
- B. They are used for the operations of the business.
- C. Their balances are presented in the income statement.
- D. Accounts receivable is a non-current asset

14. DSE2016 – 23

On 1 January 2015, Mr Lee set up a firm with cash of \$100 000. On the same day, the firm took out a loan of \$200 000 from a bank. At the end of that year, total assets and total liabilities of the firm were \$980 000 and \$560 000 respectively. During the year, Mr Lee made regular cash drawings of \$5 000 per month.

What is the net profit of the firm for the year 2015?

- A. \$180 000
- B. \$260 000
- C. \$325 000
- D. \$380 000

15. DSE2016 – 26

Which of the following is not the main use of a company's financial statements for the respective users?

<u>User</u>	<u>Main use</u>
A. managers	to formulate company's development strategies
B. employees	to assess their remuneration level and job security
C. government	to assess company's ability to repay tax
D. trade creditors	to decide whether to sell goods to the company on credit

Based on the following information, answer Questions 29 and 30.

The following account balances as at 31 December 2015 were extracted from the books of a firm:

	Dr	Cr
	\$	\$
Purchases	75 000	
Returns inwards and returns outwards	5 000	3 000
Discounts allowed and discounts received	3 500	2 000
Inventory as at 1 January 2015	15 000	
Electricity	10 000	
Wages and salaries	36 500	

16. DSE2016 – 29

Given that the inventory as at 31 December 2015 was \$27 000, what was the cost of goods sold for the year ended 31 December 2015?

- A. \$54 500
- B. \$58 000
- C. \$60 000
- D. \$63 000

17. DSE2016 – 30

Given that the net profit for the year ended 31 December 2015 was \$9 000, what was the gross profit for the year?

- A. \$59 000
- B. \$57 000
- C. \$54 000
- D. \$53 500

18. DSE2017 – 15

Which of the following is not a use of financial statement?

- A. Assist different users in making decisions
- B. Provide information about the financial position of a business
- C. Provide information to employees for assessing their job security
- D. Provide qualitative information regarding the performance of a business

19. DSE2018 – 17

The following information relates to Mr Chan's firm in 2017:

	\$
Capital, as at 1 January 2017	443 800
Capital, as at 31 December 2017	425 000
Total revenue for the year 2017	97 000
Total expenses for the year 2017	108 500

Based on the above information, Mr Chan _____ the firm during the year 2017.

- A. withdrew \$7 300 from
- B. withdrew \$30 300 from
- C. introduced \$7 300 into
- D. introduced \$30 300 into

20. DSE2018 – 20

Which of the following would increase the gross profit of a trading firm?

- A. decrease in returns outwards
- B. decrease in carriage outwards
- C. increase in trade discounts offered by the supplier
- D. increase in cash discounts offered by the supplier

21. DSE2018 – 29

Which of the following about an income statement is not correct?

- A. Information is mostly quantitative.
- B. Information mainly reflects past events.
- C. Its preparation involves professional judgements.
- D. Its preparation is based on cash receipts and cash payments only.

22. DSE2019 – 14

For a sole proprietorship selling office equipment, which of the following about its statement of financial position is correct?

- A. Office equipment held for sale should be classified as a current asset.
- B. The statement shows details of the transactions made during the year.
- C. The statement shows the balances of the nominal accounts and real accounts of the firm.
- D. Working capital is the difference between non-current assets and non-current liabilities.

23. DSE2019 – 25

Which of the following is not the main use of financial statements for the respective users?

<u>User</u>	<u>Main Use</u>
A. Employees	To access the prospects of the company
B. Managers	To evaluate the financial performance of the company
C. Government	To compute the profits tax payable by the company
D. Customers	To access the liquidity of the company

24. DSE2020 – 11

Which of the following is/are limitation(s) of using financial statements?

- (1) The financial statements mainly record past transactions, which may not reflect the future.
- (2) The inter-period comparison of the firm's performance is difficult as the assets in financial statements are generally reported at their market values, which fluctuate over time.
- (3) It is difficult to compare the performance of different firms in the same industry as different firms would adopt different accounting methods.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (1), (2) and (3)

25. DSE2020 – 14

A trading firm earned an interest income of \$8 000. How will the firm's gross profit and net profit for the year be affected?

	<u>Gross profit</u>	<u>Net profit</u>
A.	unchanged	increases
B.	increases	unchanged
C.	unchanged	unchanged
D.	increases	increases

26. DSE2020 – 30

On 8 April, Tin Ming purchased goods for \$60 000 on credit from Walter with a trade discount of 2%.

Another 3 % discount would be received by Tin Ming if settlement was made within 10 days. If Tin Ming makes the settlement on 21 April, he has to repay _____.

- A. \$57 036
- B. \$58 200
- C. \$58 800
- D. \$60 000

27. DSE2021 – 11

Which of the following will reduce the gross profit of a firm?

- (1) drawing of goods
- (2) increase in carriage inwards
- (3) increase in electricity expenses

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1) and (2) only

28. DSE2021 – 15

Which of the following about the statement of financial position is/are correct?

- (1) It reveals the liquidity of a firm.
- (2) Non-current assets are listed according to their total amounts in descending order.
- (3) It reveals the financial status of a firm for a period of time.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

29. DSE2022 – 4

Assume that the closing inventory of a firm decreases and its carriage outwards increases. How will this affect the gross profit and net profit of the firm?

	<u>Gross profit</u>	<u>Net profit</u>
A.	increases	increases
B.	increases	unchanged
C.	decreases	decreases
D.	decreases	unchanged

30. DSE2022 – 29

The bookkeeper prepared a trial balance as below, but some account balances were put on the wrong side:

Trial balance as at 31 December 2021		
	Dr	Cr
	\$	\$
Sales	102 000	
Purchases	56 500	
Inventory, 1 January 2021	21 100	
Motor vans		86 000
Discounts received	2 500	
Operating expenses		7 800
Bank	3 500	
Bank loan	40 000	
Capital, 1 January 2021		(Y)
	<u>?</u>	<u>?</u>

Inventory as at 31 December 2021 was \$14 000.

What is the net profit for the year ended 31 December 2021?

- A. \$28 100
- B. \$33 100
- C. \$19 100
- D. \$30 600

31. DSE2023 – 7

Which of the following transactions will reduce the net profit of a firm?

- (1) Repaid trade payables by cheque.
- (2) Bought stationery for office use.
- (3) Returned goods to suppliers.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

32. DSE2023 – 25

A firm was established on 1 January 2022. Calculate the amount of purchases for 2022 based on the following information:

Sales for 2022	\$1 200 000
Inventory as at 31 December 2022	\$115 000
Gross profit ratio for 2022	40%

- A. \$365 000
- B. \$595 000
- C. \$605 000
- D. \$835 000

33. DSE2024 – 3

Which of the following are uses of financial statements?

- (1) for tax assessment
- (2) for analysing the financial information of a firm
- (3) for comparing the financial performance across different firms in the industry

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

34. DSE2024 – 5

Which of the following is an external user of financial statements who focuses on both the profitability and liquidity of a firm?

- A. senior management
- B. customer
- C. supplier
- D. the government

35. DSE2025 – 20

Which of the following are the main uses of a firm's financial statements for the respective users?

- (1) government: to assess the tax payable of the firm
- (2) shareholders: to assess the financial performance of the firm
- (3) customers: to assess the repayment ability of the firm

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

36. DSE2025 – 21

Which of the following will lead to an increase in the gross profit of a firm?

- (1) The firm sold goods to a customer for cash.
- (2) A customer returned goods to the firm.
- (3) The firm received cash from a credit customer.

- A. (1) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

37. DSE2025 – 23

The following is the financial information related to a firm for the year ended 31 March 2025:

	\$
Carriage inwards	10 500
Carriage outwards	23 000
Purchases	172 300
Inventory as at 1 April 2024	26 100
Inventory as at 31 March 2025	35 400

What is the cost of goods sold for the year ended 31 March 2025?

- A. \$150 500
- B. \$173 500
- C. \$186 000
- D. \$196 500

Short Questions

1. DSE2012 – 1

Explain three limitations on the use of financial statements.

(6 marks)

2. DSE2012 – 5(a)

The following account information relates to Yip's business for the year ended 31 December 2011:

	\$
Office equipment	220 000
Trade receivables	67 000
Opening inventory	34 000
Closing inventory	42 000
Bank overdraft	17 600
Trade payables	26 300
Loan from Sam's Company (repayable in 2020)	38 000
Opening capital	231 000
Sales	109 000
Purchases	76 100
Rent and rates	12 000
Salaries	9 000
Other operating expenses	7 900
Discounts received	4 100

(a) Prepare the statement of financial position for Yip's business as at 31 December 2011.

(5 marks)

3. DSE2014 –3

(a) Tony is the sole owner of a toy trading business. State the book of original entry for the recording of each of the following transactions of Tony's business:

(i) Sold toys to customers on credit

(ii) Received a credit note for toys returned

(iii) Paid salaries to office clerks by autopay

(3 marks)

(b) From the accounts for recording the transactions in (a), identify one example for each of the following types of ledger accounts:

(i) Real account

(ii) Nominal account

(2 marks)

4. DSE2014 –5(a)

Mike sells imported tableware to restaurants. The following balances were obtained from the books of accounts as at 31 December 2013:

	\$
Trade payables	15 000
Trade receivables	27 000
Bank loans (repayable in March 2015)	22 000
Bank overdraft	11 000
Capital, 1 January 2013	?
Furniture and fixtures	63 000
Inventory	7 000
Net profit for the year	3 800
Rental deposit	20 000

(a) Prepare for Mike the statement of financial position as at 31 December 2013. (5 marks)

5. DSE2014 –6(a)

Sunshine Department Store had the following financial information for the year ended 31 December 2013:

	\$
Carriage inwards	9 000
Inventory, 1 January 2013	80 000
Inventory, 31 December 2013	60 000
Purchases	120 000
Rent and rates	48 000
Returns inwards	2 000
Sales	268 000
Sundry expenses	30 000

(a) Prepare an income statement for Sunshine Department Store for the year ended 31 December 2013. (5 marks)

6. DSE2015 –4(a)

Peter is the sole owner of a garment firm. The following balances as at 31 December 2014 were obtained from the firm:

	\$
Bank loan (repayable in September 2015)	430 000
Capital, 1 January 2014	?
Cash at bank	398 000
Fixed deposit (6 month)	180 000
Inventory	210 000
Motor vehicles	986 000
Net profit for the year	82 000
Trade payables	383 000
Trade receivables	320 000

Prepare a statement of financial position for Peter's business as at 31 December 2014.

(5 marks)

7. DSE2015 –5(a)

John commenced a trading firm on 1 January 2014 as the sole owner. The financial information of the firm for the year ended 31 December 2014 is as follows:

	\$
Carriage inwards	25 500
Carriage outwards	23 600
Inventory, 31 December 2014	88 000
Purchases	227 500
Rental expenses	128 000
Returns outwards	9 230
Sales	492 000
Salaries	120 000

(a) Prepare an income statement for John's business for the year ended 31 December 2014.

(5 marks)

8. DSE2017 – 5(a)

John commenced a firm selling grocery and household products on 1 January 2016. Three employees were hired for the operation of the firm.

The following balances were obtained from his books as at 31 December 2016:

	\$
Capital, 1 January 2016	240 000
Bank overdraft	173 400
Furniture	204 000
Sales	796 200
Purchases	500 400
Returns inwards	1 800
Returns outwards	1 500
Discounts received	2 100
Operating expenses	507 000

The inventory as at 31 December 2016 was valued at \$195 000.

- (a) Prepare for John's firm an income statement for the year ended 31 December 2016. (5 marks)

9. DSE2018 – Q4(a)

On 1 January 2017, Mandy commenced a sole proprietorship firm to design and sell computer software. The following balances were extracted from the books of the firm as at 31 December 2017:

	\$
Trade receivables	13 000
Motor van	48 000
Bank loan (to be matured in July 2018)	30 000
Sales	220 000
Trade payables	8 000
Purchases	98 000
Equipment	166 000
Operating expenses	105 600
Cash at bank	16 000
Capital, 1 January 2017	?

- (a) On 31 December 2017, the inventory of the firm was valued at \$26 000. Prepare a statement of financial position of Mandy's firm as at 31 December 2017. (5 marks)

10. DSE2019 – Q5(a)

Au's firm manufactures and sells garments. The following account balances were extracted from the books of Au's firm as at 31 December 2018:

	\$
Sales	2 300 000
Inventory, 31 December 2018	100 000
Gross profit for the year	1 495 000
Net profit for the year	345 000
Capital, 1 January 2018	1 827 500
Machinery	2 182 500
Cash at bank	140 000
Trade payables	250 000

In 2017, the return on capital employed and the current ratio of Au's firm were 25% and 1.4:1 respectively. In 2018, additional capital was not introduced and there were no drawings.

- (a) Prepare a statement of financial position for Au's firm as at 31 December 2018. (3 marks)

11. DSE2020 – Q5(B)(d)

	\$
Capital, 1 January 2019	100 000
Returns inwards	4 000
Inventory, 1 January 2019	10 000
Carriage inwards	8 000
Machinery	145 000
Purchases	400 000
Other operating expenses	87 500
Discounts allowed	9 000
Carriage outwards	32 000
Bank	199 000
Returns outwards	4 500
Sales	790 000

There was no closing inventory at the end of 2019.

- (d) Prepare an income statement for the year ended 31 December 2019. (5 marks)

12. DSE2021 – Q3(b)

Jeffery commenced a firm as a sole trader on 1 April 2021 with \$80 000. The following is the bank account of the firm for April:

Bank					
2021			2021		
		\$			\$
Apr 1	Capital	80 000	Apr 5	Rental expenses	37 000
Apr 18	Sales	15 000	Apr 19	Equipment	62 000

- (b) Prepare an extract of the statement of financial position for Jeffery as at 30 April 2021 to present the bank account balance and its classification. (2 marks)

13. DSE2021 – Q5(A)(a)

Mr Wong started a garment firm on 1 April 2021. The following balances were obtained from the books as at 30 April 2021:

	\$
Carriage outwards	1 300
Discounts received	800
Purchases	80 000
Sundry expenses	23 475
Returns inwards	1 500
Sales	103 500

The inventory as at 30 April 2021 was valued at \$18 000.

- (a) Prepare an income statement for the month ended 30 April 2021. (5 marks)

14. DSE2022 – Q4(a)

Ben runs a small food and grocery shop in Mongkok. The following are some account balances extracted from the books of his firm as at 31 December 2021:

	\$
Sales	440 000
Office furniture	195 100
Bank loan (maturing on 31 August 2023)	80 000
Purchases	180 000
Bank	54 400
Capital, 1 January 2021	265 000
Rental deposit	30 000
Trade receivables	13 500
Trade payables	11 600
Equipment	35 500

The inventory as at 31 December 2021 was valued at \$27 000.

The rental deposit for the shop was paid on 1 January 2021. It will be refunded upon the end of the tenancy agreement on 30 June 2022, if the terms of the rental contract are not violated. During the year 2021, Ben withdrew \$5 000 from the bank account each month for his personal use.

- (a) Prepare a statement of financial position as at 31 December 2021. (6 marks)

15. DSE2022 – Q5(c)

The following information for the quarter ended 31 March 2022 is extracted from the books of Cherry's business:

Movement of inventory	<u>kg</u>	<u>List price per kg (\$)</u>	<u>Trade discount</u>
Purchases	4 000	66.5	
Damaged goods returned to suppliers	200	66.5	
Sales (wholesale)	2 000	180	25%
Sales (retail)	1 100	180	/

Other information:

	\$
Wages and salaries	125 800
Printing and packaging expenses	10 150
Discounts given by suppliers for early settlement	9 825

- (c) Prepare an income statement for the quarter ended 31 March 2022. (6 marks)

16. DSE2023 – Q5(a)(b)

Kelly is the sole owner of a firm providing real estate agency services, which was established on 1 January 2021. The firm specialises in leasing private car parking space. The following are all the account balances of the firm as at 31 December 2022:

	\$
Agency commission revenue	306 040
Office equipment	49 920
Bank overdraft	14 630
Agent salaries	224 890
Bank loan (repayable in July 2023)	29 080
Capital, 1 January 2022	2 990
Administrative expenses	19 430
Drawings	5 000
Cash	53 500

(a) Prepare an income statement for the year ended 31 December 2022. (2 marks)

(b) Prepare a statement of financial position as at 31 December 2022. (4 marks)

17. DSE2024 – Q1(b)

Mr Lee runs a household appliances shop in Hong Kong in the form of sole proprietorship. It is a small and medium enterprise (SME). The following account balances as at 31 December 2023 were extracted from the books of the firm:

	\$
Discounts allowed	14 000
Carriage inwards	35 000
Drawings	12 000
Inventory as at 1 January 2023	65 000
Purchases	604 000
Sales	880 000
Sundry expenses	56 800

The inventory as at 31 December 2023 was valued at \$90 000.

(b) Prepare an income statement for the year ended 31 December 2023. (4 marks)

207 Accounting Assumptions, Principles and Conventions

Multiple Choice Questions

1. DSE2012 – 27

Which of the following accounting principles and conventions has been violated if the owner of a restaurant charges the unpaid bills for meals with his family sometimes to the company's expense accounts but sometimes to his personal expense accounts?

- A. Accrual
- B. Business entity
- C. Consistency
- D. Going concern

2. DSE2013 – 10

On 1 January 2012, Good Fortune Company signed a tenancy contract to rent an office for two years from 1 February 2012 to 31 January 2014. On the same day, it made a payment of \$208 000 to the landlord for the rent from February to March 2012 and a deposit equal to two months' rent. The rental expense shown in the income statement for the year ended 31 December 2012 was:

- A. \$572 000
- B. \$624 000
- C. \$1 144 000
- D. \$1 248 000

3. DSE2014 – 5

It is a firm's practice to record free samples given to customers as promotion expenses. At the year end, the owner of the firm took some free samples for his personal use. According to _____ concept, these free samples should be treated as _____.

- A. business entity concept promotion expenses
- B. business entity concept drawings
- C. consistency..... promotion expenses
- D. consistency drawings

4. DSE2014 – 16

On 30 December 2013, a firm bought a motor van and made payment of \$150 000 by cheque. The van's list price was \$243 000 and a trade discount of \$15 000 was given. As at 31 December 2013, its market value had fallen to \$200 000. The van should be recorded at _____ in the statement of financial position as at 31 December 2013.

- A. \$150 000
- B. \$200 000
- C. \$228 000
- D. \$243 000

5. DSE2016 – 5

Sunny, who maintains a good credit record, is a customer of Mary's business. For the year ended 31 December 2015, Mary sold goods for \$8 000 on credit to Sunny. Sunny fully settled the debt in January 2016. According to the _____ (1) _____, Mary should record this transaction as sales for the year _____ (2) _____.

- | | <u>(1)</u> | <u>(2)</u> |
|----|--------------------------|------------|
| A. | accrual concept | 2015 |
| B. | accrual concept | 2016 |
| C. | going concern assumption | 2015 |
| D. | going concern assumption | 2016 |

6. DSE2017 – 25

Which of the following descriptions about accounting assumptions, principles and conventions is correct?

- A. Historical cost: all business transaction should be recorded in the books
- B. Business entity: a sole proprietor can record his personal spending in the books of his business
- C. Consistency: the accounting policies and methods cannot be changed once adopted
- D. Going concern: a business will continue in operation for the foreseeable future

7. DSE2019 – 2

According to accounting assumptions, principles and conventions, which of the following accounting treatments is correct?

- A. A sole proprietor records his own rental expenses in the books of the firm.
- B. Mr. Chan owns three firms. He keeps separate accounting records for each firm.
- C. All assets are valued at current market price if a business is expected to cease operating in the following month.
- D. Once an accounting method has been adopted, the method should not be changed unless the new method leads to a higher profit.

8. DSE2020 – 20

Jeffery is the owner of two firms. For the sake of convenience, he records all the purchases of the two firms in the same book. Which of the following accounting assumptions, principles or conventions has been violated in this case?

- A. Accrual
- B. Historical cost
- C. Going concern
- D. Business entity

9. DSE2021 – 18

On 31 December 2020, Sunview Company decided to close the business three months later. On that date, its non-current assets were recorded at \$3 800 000 and its liquidation value was \$2 098 000.

According to the _____, the value of the non-current assets shown in the statement of financial position of Sunview Company as at 31 December 2020 should be _____

- A. going concern assumption \$2 098 000
- B. going concern assumption \$3 800 000
- C. historical cost concept..... \$2 098 000
- D. historical cost concept \$3 800 000

10. DSE2023 – 17

A firm signed a contract to rent an office at a monthly rental of \$10 000 starting from 1 August 2022.

The firm paid the rent for the first six months on the first day of the rental period.

According to the _____ (1) _____, the rental expenses for the year ended 31 December 2022 amounted to _____ (2) _____.

- | | (1) | (2) |
|----|--------------------------|----------|
| A. | accrual concept | \$50 000 |
| B. | accrual concept | \$60 000 |
| C. | going concern assumption | \$50 000 |
| D. | going concern assumption | \$60 000 |

11. DSE2024 – 27

A manufacturing firm had a significant change in the nature of its operations. It thus changed the valuation method for its non-current assets.

The above change in the valuation method the consistency principle because

- A. did not violate it could reflect a more accurate value of the non-current assets
- B. did not violate the non-current assets were still valued on an accrual basis
- C. violated the valuation method cannot be changed once adopted
- D. violated the firm must use the same valuation method for all non-current assets

Short Questions

1. DSE2012 – 6(a)

Peter was a sole proprietor running a small business without any employees. He bought a piece of equipment with a list price of \$56 000 for \$48 000 in February 2012. Peter then went bankrupt. On 31 March 2012 and he decided to close the business. The market value of the equipment on the same date was \$38 000.

- (a) What is the valuation of the equipment as at 31 March 2012? Explain your answer with an appropriate accounting concept. (3 marks)

2. DSE2013 – 3

For each of the independent situations described below, state the accounting principle or concept that has been violated and give a brief explanation.

- (a) The owner of a firm, Mr Chan, bought a pearl necklace worth \$85 000 for his wife with a firm's cheque. The bookkeeper recorded the transaction as follows: (3 marks)

	Dr.	Cr.
	\$	\$
Sundry expenses	85 000	
Bank		85 000

- (b) The owner of a firm, Miss Lee, bought a notebook computer of \$12000 for office use, She heard from the dealer that its market value at that time was \$14 000, The bookkeeper recorded the transaction as follows: (3 marks)

	Dr.	Cr.
	\$	\$
Office equipment	14 000	
Bank		12 000
Gain on purchase of office equipment		2 000

3. DSE2015 –2

- (a) Explain the consistency principle in accounting. (2 marks)
- (b) A firm bought a motor van for business use and paid \$175 000 from its bank account. The list price of the motor van was \$200 000 and a discount of \$25 000 was given by the vendor.

State the amount to be recorded for the motor van in the books of the firm. Explain your answer with a relevant principle or concept. (3 marks)

4. DSE2016 –1(b)

Annie runs a shop selling bicycles. One day, Annie took one of the bicycles home for her son's use. The cost and selling price of the bicycle are \$500 and \$980 respectively.

- (b) Explain, with a relevant accounting principle or concept, why records have to be made in the accounts, as in (a) above. (3 marks)

5. DSE2017 –3(d)

Company B is retail business selling electrical appliances.

The financial year of Company B ends on 31 December. On 4 January 2017, Company B received an electricity bill for 31 December 2016 of \$9500. It then settled the bill on 29 January 2017.

- (d) Explain, with a relevant accounting principle or concept, in which year the electricity of \$9500 should be recorded as an expense. (3 marks)

6. DSE2018 – Q3(b)

Darwin Limited is a listed company, running a department store business with five stores of a similar size in Hong Kong.

The performance of Darwin Limited was poor during the past few years. In February 2018, the company had to liquidate within six months as it was unable to repay its debts. Therefore, the financial statements as at 31 March 2018 were not prepared based on the going concern assumption.

- (b) Explain the going concern assumption. How should the non-current assets of Darwin Limited be valued as at 31 March 2018? (2 marks)

7. DSE2020 – Q2(b)

To finance the expansion of the business, Chan's firm is applying for a bank loan. The bank requested Chan's firm to submit its financial statements of the past three years for its consideration.

Based on the General Manager's suggestion, Chan's firm is considering changing the valuation method of its non-current assets this year.

- (b) State an accounting principle or concept that can be applied to this case, and use this principle or concept to explain whether or not Chan's firm should change the valuation method of its non-current assets. (3 marks)

8. DSE2021 – Q3(c)

On 1 May 2021, Jeffery purchased a second-hand motor car on credit at \$50 000 for personal use. The bookkeeper of the firm recorded the transaction as follows:

Other payables			
2021	\$	2021	\$
		May 1	Motor cars 50 000
Motor cars			
2021	\$	2021	\$
May 1	Other payables 50 000		

(c) Explain the accounting principle or concept that has been violated in the above case. (2 marks)

9. DSE2024 – Q4(c)

(c) The following is a conversation between Anson and Ivy:

Anson: Ivy, we need to update the value of the delivery vans in the financial statements from time to time as their market value changes over time.

Ivy: Sorry, we have to follow certain accounting principles and concepts when recording the value of the non-current assets.

Explain an accounting principle or concept that Ivy should follow when recording the value of the delivery vans in the books. (3 marks)

10. DSE2025 – Q3(b)

Mr Chan is the sole owner of a firm which provides consultancy services. The following are the account balances of the firm as at 31 December 2024:

	\$
Bank	84 250
Capital, 1 January 2024	212 000
Drawings	98 000
Loan to employees	30 000
Office equipment	191 700
Operating expenses	174 500
Other payables	34 500
Consultancy service revenue	331 950

On 31 December 2024, the liquidation value of the office equipment was \$125 000.

- (b) Assume Mr Chan decided in December 2024 that he was going to close down the business within six months due to health reasons. Explain, with the most relevant accounting principle or concept, how the office equipment should be valued as at 31 December 2024. (3 marks)

208 Basic Ratio Analysis

Multiple Choice Questions

1. DSE2012 – 22

On 31 December 2011, the amount of total current liabilities of a company is \$120 000 and its current ratio is 3:1. What was the amount of working capital of the company on the same date?

- A. \$40 000
- B. \$8 0000
- C. \$240 000
- D. \$360 000

2. DSE2013 – 9

King Lung Company owed Tin Tin Company \$56 000 on 1 December 2012. On 10 December 2012, Tin Tin Company sold goods costing \$8 0000 at a gross profit margin of 50% to King Lung Company. On 15 December 2012, King Lung Company settled the beginning balance of the month with a cash discount of 3%. The balance of King Lung Company's account in Tin Tin Company's books as at 31 December 2012 would be:

- A. \$54 320 (credit balance)
- B. \$104 000 (debit balance)
- C. \$120 000 (credit balance)
- D. \$160 000 (debit balance)

Based on the following information, answer Questions 26 and 27:

	<u>Lung Hing Company</u>	<u>Fat Tat Company</u>
Turnover	\$45 000 000	\$52 000 000
Gross profit ratio	28%	25%
Net profit ratio	19%	22%
Current ratio	1.81 : 1	2.43 : 1
Liquid ratio	0.75: 1	1.65:1

3. DSE2013 – 26

Which of the following comments on the financial performance of Lung Hing Company as compared with Fat Tat Company is correct?

Lung Hing Company has

- A. higher gross profit.
- B. higher net profit.
- C. higher cost of goods sold.
- D. higher operating expenses.

4. DSE2013 – 27

Which of the following comments on the liquidity of Lung Hing Company as compared with Fat Tat Company is correct?

Lung Hing Company has

- A. higher proportion of funds tied up in inventory.
- B. higher liquidity.
- C. more current assets to meet short-term obligations.
- D. fewer current liabilities.

5. DSE2014 – 9

As at 31 December 2013, Quinton Company had current liabilities amounting to \$60 000 and its current ratio was 3:1 and quick ratio was 2:1. What was the amount of its inventory on that date?

- A. \$60 000
- B. \$120 000
- C. \$180 000
- D. \$240 000

6. DSE2014 – 11

A business earns a gross profit margin of 25%. Calculate its sales amount based on the following data:

Item	\$
Opening inventory	10 000
Closing inventory	4 000
Purchases	51 000
Selling expenses	1 500

- A. \$69 375
- B. \$71 250
- C. \$74 000
- D. \$76 000

7. DSE2014 – 19

Which of the following accounting ratios can be calculated when only the income statement is provided?

- (1) net profit ratio
- (2) quick ratio
- (3) return on capital employed

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1) and (3) only

Based on the following information, answer Questions 29 and 30.

Nelson established his firm on 1 January 2014. Its sales and purchases for the year ended 31 December 2014 were \$540 000 and \$230 000 respectively. The gross profit ratio was 60% while the net profit margin was 35%.

8. DSE2015 – 29

What is the amount of inventory of the firm as at 31 December 2014?

- A. \$10 000
- B. \$12 000
- C. \$14 000
- D. \$18 000

9. DSE2015 – 30

What is the amount of expenses of the firm for 2014?

- A. \$135 000
- B. \$189 000
- C. \$216 000
- D. \$324 000

10. DSE2017 – 12

Chan Kee and Yip Kee are trading firms in the same industry. Their gross profit ratios and net profit ratios for the year 2016 are shown below:

	<u>Chan Kee</u>	<u>Yip Kee</u>
Gross profit ratio	39%	45%
Net profit ratio	24%	20%

Based on the above ratios, which of the following can be concluded?

- A. Yip Kee has a higher sales amount.
- B. Yip Kee has a higher cost of goods sold.
- C. Chan Kee has a higher net profit.
- D. Chan Kee has better control over operating expenses.

Based on the following information, answer Question 21 and 22.

As at 31 December 2016, Wong's firm had the following assets and liabilities:

	\$
Non-current assets	280 000
Bank	18 000
Cash	58 000
Inventory	71 000
Trade payables	86 000
Trade receivables	162 000
Long term bank loan	120 000

11. DSE2017 – 21

What is the quick ratio of Wong's firm for 2016?

- A. 1.16 : 1
- B. 2.77 : 1
- C. 3.59 : 1
- D. 6.02 : 1

12. DSE2017 – 22

What is the amount of working capital in Wong's firm as at 31 December 2016?

- A. \$103 000
- B. \$152 000
- C. \$223 000
- D. \$503 000

13. DSE2017 – 29

Which of the following statement about account ratios is/are correct?

- (1) They are used to evaluate the financial results of the business.
- (2) For the calculations of all profitability ratios, the denominator is 'Sales'.
- (3) The acid-test ratio of a firm is higher than its current ratio.

- A. (1) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

14. DSE2018 – 21

Ming Kee and Chan Kee are trading firms in the same industry. Their financial information for the year 2017 is shown below:

	<u>Ming Kee</u>	<u>Chan Kee</u>
Current assets	\$900 000	\$600 000
Current ratio	6:1	2.5:1
Acid test ratio	2:1	1.5:1

Based on the above information, Ming Kee has _____.

- (1) less current liabilities
- (2) greater ability to meet short-term obligations
- (3) less inventory

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1) , (2) and (3)

15. DSE2019 – 10

On 31 December 2018, the quick ratio of a firm was 0.8:1. On that date, the account balances of the firm were as follows:

	\$
Inventory	6 000
Bank Loan (repayable in April 2019)	10 000
Cash	30 000
Trade Payables	50 000

Based on the above information, calculate the amount of trade receivables as at 31 December 2018.

- A. \$4 000
- B. \$10 000
- C. \$12 000
- D. \$18 000

16. DSE2019 – 16

A firm was set up in January 2018. The following account balances were extracted from its books as at 31 December 2018:

	\$
Sales	154 000
Purchases	51 000
Carriage Outwards	25 000
Carriage Inwards	4 700
Salaries	31 000

The inventory as at 31 December 2018 amounted to \$7 200. The gross profit for the year ended 31 December 2018 was _____?

- A. \$72 000
- B. \$105 500
- C. \$107 700
- D. \$114 900

17. DSE2020 – 9

A firm's current ratio is 1.8:1 and the acid-test ratio is 0.9:1. Which of the following statements is correct?

- A. The amount of working capital of the firm is negative.
- B. Half of the current assets of the firm are inventory.
- C. The liquidity and profitability of the firm are poor.
- D. The firm has sufficient liquid assets to settle its current liabilities.

18. DSE2020 – 23

The following balances as at 31 December 2019 were extracted from the accounts of a firm:

	\$
Inventory	17 500
Bank	27 000
Trade payables	30 800
Trade receivables	16 400
Short term loan to employees	8 000
Bank loan (repayable in 2022)	13 000

What is the liquid ratio of the firm?

- A. 1.12:1
- B. 1.57:1
- C. 1.67:1
- D. 2.24:1

19. DSE2021 – 22

Information about Shun Kee and Kam Kee for the year ended 31 December 2020 is shown below:

	<u>Shun Kee</u>	<u>Kam Kee</u>
	\$000	\$000
Sales	8 800	15 000
Cost of goods sold	2 400	2 600
Operating expenses	2 800	9 800

Based on the information above, which of the following statements is correct?

- A. Kam Kee had a lower gross profit.
- B. Kam Kee had a higher return on capital employed.
- C. Kam Kee had better control over operating expenses.
- D. Kam Kee had a lower net profit ratio.

Based on the following information, answer question 19 and 20:

Some of the account balances for Yip's firm as at 31 December 2021 are as follows:

	\$
Capital, 1 January 2021	420 000
Bank overdraft	18 000
Inventory	71 000
Trade payables	86 000
Trade receivables	162 000
Net profit for 2021	155 000
Drawings	11 000

20. DSE2022 – 19

The quick ratio as at 31 December 2021 is:

- A. 1.56:1
- B. 2.09:1
- C. 2.24:1
- D. 2.71:1

21. DSE2022 – 20

The return on capital employed for 2021 is:

- A. 26.96%
- B. 31.16%
- C. 31.50%
- D. 36.90%

22. DSE2023 – 14

Which of the following transactions could enhance the liquidity of a firm?

- (1) The owner introduces cash into the firm.
- (2) The firm obtains cash by bank overdraft.
- (3) The firm takes out a five-year bank loan to repay trade payables.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

23. DSE2024 – 21

The financial information of Susan's firm for the year ended 31 December is as follows:

	<u>2022</u>	<u>2023</u>
Gross profit ratio	39%	51%
Net profit ratio	20%	22%
Return on capital employed	8%	10%

Which of the following comments on Susan's firm in 2023 as compared with 2022 is correct?

- A. It had a higher sales amount.
- B. It earned a higher gross profit.
- C. It had better control over operating expenses.
- D. It was more efficient in using capital to generate profits.

Short Questions

1. DSE2012 – 5(b)

The following account information relates to Yip's business for the year ended 31 December 2011:

	\$
Office equipment	220 000
Trade receivables	67 000
Opening inventory	34 000
Closing inventory	42 000
Bank overdraft	17 600
Trade payables	26 300
Loan from Sam's Company (repayable in 2020)	38 000
Opening capital	231 000
Sales	109 000
Purchases	76 100
Rent and rates	12 000
Salaries	9 000
Other operating expenses	7 900
Discounts received	4 100

(b) Calculate (to two decimal places) the gross profit ratio of Yip's business for 2011.

(2 marks)

2. DSE2016 – 4(a)(b)

Based on the following information, answer either Question 4 or 5.

John runs a small supermarket. Its financial statements for the year 2015 are given below:

Income Statement for the year ended 31 December 2015	
	\$
Sales	100 000
Less: Cost of goods sold	60 000
Gross profit	40 000
Less: General expenses	30 000
Net profit	10 000

Statement of financial position as at 31 December 2015	
	\$
Non-current assets	20 000
Current assets	
Inventory	34 000
Cash	6 000
	40 000
Less: Current liabilities	
Trade payables	30 000
	10 000
	30 000
Capital, 1 January 2015	37 000
Add: Net profit	10 000
	47 000
Less: Drawings	17 000
	30 000

4. (a) Calculate (to two decimal places) the following ratios for the year 2015 for John's supermarket:
- (i) Gross profit ratio
 - (ii) Net profit ratio
 - (iii) Return on capital employed (3 marks)
- (b) Man Kee is another small supermarket in the same district. Its gross profit ratio and net profit ratio for the year 2015 are 35% and 15% respectively. Briefly comment on the profitability of John's supermarket for the year 2015 as compared with Man Kee. (2 marks)

3. DSE2016 – 5(a)(b)

5. (a) Calculate (to two decimal places) the following for the year 2015 for John's supermarket:
- (i) Working capital
 - (ii) Current ratio
 - (iii) Liquid ratio (3 marks)
- (b) Briefly comment on the liquidity of John's supermarket as at 31 December 2015. (2 marks)

4. DSE2019 – Q4(a)(i)(ii)(iii)(b) & 5(b)

Refer to the information below, answer Question 4 or Question 5.

Au's firm manufactures and sells garments. The following account balances were extracted from the books of Au's firm as at 31 December 2018:

	\$
Sales	2 300 000
Inventory, 31 December 2018	100 000
Gross profit for the year	1 495 000
Net profit for the year	345 000
Capital, 1 January 2018	1 827 500
Machinery	2 182 500
Cash at bank	140 000
Trade payables	250 000

In 2017, the return on capital employed and the current ratio of Au's firm were 25% and 1.4:1 respectively. In 2018, additional capital was not introduced and there were no drawings.

(a) Calculate the following ratios for 2018 for Au's firm (to two decimal places):

- (i) gross profit ratio (1 mark)
- (ii) net profit ratio (1 mark)
- (iii) return on capital employed (2 marks)

(b) Based on the return on capital employed, briefly comment on the profitability of Au's firm in 2018.

(1 mark)

DSE2019 – Q5(b)

(b) Based on the current ratio (to two decimal places), briefly comment on the liquidity of Au's firm as at 31 December 2018.

(2 marks)

5. DSE2021 – Q4(A)(a)(i)(ii) & (A)(b)

Chan Kee is a shop selling household products. The account balances as at 31 December 2020 extracted from its books were as follows:

	\$
Bank loan (due in March 2021)	30 000
Bank	20 000
Fixed deposit (for 6 months)	50 000
Inventory	180 000
Trade payables	100 000
Trade receivables	120 000

In 2020, the industry averages of the working capital ratio and acid test ratio were 1.9:1 and 1.0:1 respectively.

(a) Calculate (to two decimal places) the following ratios for 2020 for Chan Kee:

(i) working capital ratio

(ii) acid test ratio

(2 marks)s

(b) Briefly comment on the liquidity of Chan Kee on 31 December 2020.

(3 marks)

6. DSE2022 – Q1(b)

Tim is a sole trader operating a shop selling organic skincare products. Candy invited him to be a partner of her business, which sells olive oil skincare products imported from Italy.

Candy provided the following financial information for the year 2021 for Tim's consideration:

	<u>Candy's firm</u>	<u>Industry average</u>
Annual sales	\$800 000	/
Gross profit ratio	27.2%	28.5%
Net profit ratio	17.9%	10.5%
Return on capital employed	12.5%	5.1%

(b) Comment on the profitability of Candy's firm based on the financial information above.

(4 marks)

7. DSE2023 – Q4(a)(i)(ii)

Henry's firm produces bottled juices and sells them via online channels. The following is the financial information related to the firm for the year ended 31 December 2022:

	\$
Sales	567 000
Gross profit	350 000
Net profit	285 000
Returns inwards	18 000
Opening balance of capital account	790 000
Closing balance of capital account	850 000

(a) Calculate the following ratios for 2022 (to two decimal places):

- (i) net profit ratio (2 marks)
- (ii) return on capital employed (2 marks)

8. DSE2024 – Q5(a)(i)(ii)(b)

Sing Kee is a chain store which sells frozen food. The account balances as at 31 December 2023 are extracted as follows:

	\$
Inventory	185 000
Bank	(28 000)
Cash	190 000
Trade payables	65 000
Rental deposit (to be fully refunded to Sing Kee on 31 May 2024)	10 000

(a) Calculate (to two decimal places) the following ratios for 2023 for Sing Kee:

- (i) current ratio
- (ii) quick ratio (2 marks)

The current ratio and the quick ratio of Sing Kee for 2022 were 3.45:1 and 1.15:1 respectively.

(b) Comment on the liquidity of Sing Kee for 2023. (3 marks)

Name:
Class:
Class No: